

Employing in South Africa

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Basic Conditions of Employment Act (BCEA)
- **Monthly payroll** — salary payments in ZAR, itemised payslips via EMP201
- **Tax withholding** — progressive PAYE income tax withheld and remitted to SARS
- **UIF, SDL & COIDA** — unemployment insurance, skills levy and workplace injury cover
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	No statutory minimum/maximum; commonly 3-6 months in practice, must be reasonable for the role	Code of Good Practice: Dismissal
Employer registration	SARS (PAYE, UIF, SDL) and the Compensation Fund (COIDA)	Multiple statutes
Standard hours	Maximum 45 hours/week (9 hrs/day, 5-day week)	Basic Conditions of Employment Act (BCEA)

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
National Minimum Wage (NMW)	R30.23/hour	Effective 1 March 2026; sectoral determinations set higher rates for some industries
UIF (employer)	1% of gross remuneration	Matched by 1% employee; capped at R17,712/month remuneration (max R177.12/month each side)
SDL (Skills Development Levy)	1% of total payroll	Only applies where annual payroll exceeds R500,000; employer-only
COIDA (workplace injury insurance)	Varies by industry risk classification	Employer-funded, paid to the Compensation Fund

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	21 consecutive days/year (or 1 day per 17 days worked)	Employer	BCEA minimum
Sick Leave	30 days per 36-month cycle (3-year cycle)	Employer	BCEA; reduced entitlement (1 day per 26 days worked) during the first 6 months
Maternity Leave	4 consecutive months	UIF (maternity benefit, ~38%–60% of salary on a sliding scale)	Unpaid by the employer unless contractually enhanced
Parental Leave	10 consecutive days (for the other parent)	UIF	Introduced by 2019 BCEA amendment

★ HERO TIP

South Africa has one of the lowest genuine employer statutory contribution rates among major economies — UIF, SDL and COIDA together typically add only 3%–5% on top of gross salary. The bigger compliance consideration is the Labour Relations Act's strong dismissal protections (substantive and procedural fairness requirements), not the payroll cost itself — always route South African terminations through your HeroForce EOR to confirm process before issuing notice.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
UIF (1%, capped at R17,712/month remuneration)	\$9.55	0.32%
SDL (1%, where applicable)	\$30.00	1.00%
COIDA (illustrative, ~1%)	\$30.00	1.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,669.55	~122.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. UIF is capped at a low monthly remuneration ceiling (R17,712), so its effective

percentage shrinks to almost nothing above that level for a USD \$3,000 salary — this is one of the lowest employer-cost environments among major economies. Employee deductions (withheld separately) include UIF (1%, capped) and progressive PAYE income tax.

Termination & Separation

The Labour Relations Act requires both substantive fairness (a valid reason) and procedural fairness (a fair process) for any dismissal. Statutory severance for retrenchment (redundancy) is a minimum of 1 week's pay per completed year of service, though CCMA-referred disputes and enhanced contractual severance are common in practice.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
21 March	Human Rights Day	National
3 April	Good Friday	National
6 April	Family Day	National
27 April	Freedom Day	National
1 May	Workers' Day	National
16 June	Youth Day	National
9 August	National Women's Day	National
24 September	Heritage Day	National
16 December	Day of Reconciliation	National
25 December	Christmas Day	National
26 December	Day of Goodwill	National

Ready to hire in South Africa?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first South Africa employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).